

- **Job-related expenses and other miscellaneous deductions.**

These are costs related to producing income. Clear so far, but the rule is annoyingly complex: You can deduct the combined total of these expenses that exceeds 2% of your adjusted gross income (AGI)—in other words, you can't deduct that first 2%. Here's how that works. Suppose your AGI is \$30,000. You could not deduct the first \$600 (2% of \$30,000), but you *could* deduct anything beyond that point. Below are examples of job-related expenses. For more details visit www.irs.gov and find Publication 529, *Miscellaneous Deductions*.

- » *Work-related home computers, cell phones, and other equipment.* You can deduct these costs if your employer requires you to purchase any equipment. But you must be able to prove that you use the equipment more than 50% of the time for business, and that your employer told you the item was necessary for your job. Ask your boss to write a letter or email to that effect, and file it away in case you need to show it to the IRS some day.

- » *Job-search expenses.* The IRS allows you to deduct costs related to a job search as long as you're looking for a position in your *present* occupation. If you're trying to change careers—say, you're a lifeguard looking to break into investment banking—you don't get the deduction. If you're currently out of work, the kind of job you did most recently is considered your occupation. Those looking for their first job don't get the tax break. The expenses you can deduct if you qualify include the fees of career counseling and employment or placement agencies; the cost of prepping, printing, and mailing your résumé; phone calls; and transportation costs (and 50% of the cost of